

AI Now Institute 2023 Executive Summary: Confronting Tech Power

Key Takeaways

- The report's central thesis is that the core problem posed by AI is not the technology itself but the unprecedented concentration of economic and political power in a small number of Big Tech corporations, making AI governance fundamentally a question of corporate power rather than technological risk.
- Big Tech maintains AI dominance through three mutually reinforcing advantages: a data advantage from surveillance-based collection, a computing power advantage from control over cloud infrastructure and chip supply chains, and a geopolitical advantage sustained by US-China competition rhetoric that frames tech firms as indispensable national security assets.
- AI startups are structurally dependent on Big Tech infrastructure and resources, functioning less as genuine competitors and more as 'barnacles on the hull of Big Tech' competing to be acquired, as illustrated by Microsoft threatening to restrict Bing search data access to customers developing GPT-4 competitors.
- The report argues the burden of proving safety and compliance should shift from regulators and the public to companies themselves, analogous to due-diligence frameworks already used in finance, food, and pharmaceutical regulation.
- Policy silos between competition, privacy, and AI governance are actively exploited by firms—exemplified by Google's Privacy Sandbox, which uses privacy rhetoric to consolidate its own data advantage while hollowing out competitors.
- Algorithmic audits and impact assessments, while appearing to promote accountability, risk being co-opted by industry to displace stronger structural interventions such as outright bans, moratoria, and bright-line rules, as seen in Microsoft's support for Washington state's weak facial recognition audit law instead of the police-use ban advocates sought.
- The report calls for action beyond traditional legislation, emphasizing worker organizing, shareholder advocacy (e.g., the Sisters of St. Joseph of Peace using shareholder proposals to hold Microsoft accountable), and cross-sector coalition-building as essential complements to regulatory reform.
- Digital trade agreements pose a largely overlooked threat to AI governance because provisions protecting source code secrecy and nondiscrimination clauses can be weaponized to preempt national algorithmic accountability and competition regulation.

Common Areas of Confusion

- Readers may confuse the report's critique of audits with opposition to transparency altogether. The report does not reject audits in principle; rather, it warns that audits become harmful when they serve as the primary or sole policy mechanism, displacing stronger structural interventions like bans and bright-line rules.
- The term 'Big Tech' lacks a fixed definition, which can cause confusion about exactly which companies are being discussed. The report typically means Google, Apple, Facebook/Meta, Amazon, and Microsoft (GAFAM), but sometimes includes firms like Uber or Twitter, and the label is

meant to capture structural market power rather than a precise roster.

- The claim that 'data policy is AI policy' may seem like an overstatement, but the report means it materially: AI systems depend on massive datasets, so data minimization rules directly limit what AI systems can be built, making privacy regulation a de facto form of AI regulation—a connection readers may miss if they treat these as separate policy domains.
- The report's distinction between 'rights-based' and 'risk-based' regulatory frameworks (referencing the EU's GDPR vs. AI Act) can be confusing. A rights-based approach sets non-negotiable protections regardless of context, while a risk-based approach allows industry to define acceptable risk levels, which the report argues tips the playing field toward corporate self-regulation.
- Readers may misread the geopolitical advantage as a factual claim about national security necessity rather than a critique of a narrative strategy. The report argues that US-China AI race rhetoric is instrumentally deployed by companies to shield themselves from regulation, not that AI has no genuine security dimensions.
- The analogy to 'Big Tobacco' and 'Big Pharma' may lead readers to assume the report advocates identical regulatory solutions from those domains. Instead, the parallel is about the political trajectory—how concentrated industrial power eventually provokes public accountability movements—not about transplanting specific tobacco or pharmaceutical regulations onto the tech sector.
- The report's call to 'move beyond legislation' can be mistakenly read as anti-regulatory. In fact, it argues that legislation alone is insufficient because political stalemates and industry lobbying can stall or weaken laws, making complementary strategies like worker organizing and shareholder advocacy necessary to sustain momentum.